

SMALL BUSINESS MANAGEMENT TEAM (510)

STATE – 2019

PRELIMINARY

TOTAL POINTS _____ ***(170 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

Description:

The team will use strategic planning and problem-solving skills to provide solutions to the business case study provided. At state and national level, teams will be presented with an additional element to the scenario that requires revision of their final presentation.

Modification at State Preliminary Competition:

Mr. Anderson has been reading forum where small business owners brainstorm ideas to help solve problems. He read one post that talked about a new online payment provider that only charges about half of what the normal rate for transactions are. An average charge is 5% per transaction; this provider charges 2.5%. He also read some replies to the post that questioned the security of the provider. Should Mr. Anderson consider going back to using an online shopping method with this new provider?

Initial Case Study Topic:

You have been contacted by Mr. Steve Anderson, small business owner, to help him find some creative solutions to the problems he is facing in his business. Mr. Anderson owns a small retail business (Anderson's Retail) that sells items from toys to clothes to office supplies to hardware. His business is located in three small towns throughout the state. His business is well-received by the communities where they are located, but since retailers like Walmart and Amazon have become popular he has seen a significant drop in his profits.

The company runs under the same name, but each store acts independently of the other. Merchandise is ordered from the supplier separately by all three locations, based on need. Each store has different rules and policies. Each store has a manager who decided when to run sales and clearances when they feel the store could benefit. Mr. Anderson does visit each location at least weekly to check to see how things are being run and help where needed.

Mr. Anderson has had to increase prices due to the lack of profit. He has also had to cut back on employees and charitable donations to schools and community fundraisers. Mr. Anderson even tried to sell product online and ship products to customer homes, but he found that the online sales cost him more money because his online payment provider charges him and packaging his product cost him too much money (i.e. cardboard boxes, packaging material, etc.).

Mr. Anderson feels like he has tried everything possible and is becoming disheartened thinking his business is going to fail. What do you suggest Mr. Anderson do to help his struggling business become profitable again? Consider the following in your presentation.

1. Should Mr. Anderson close a location or even all three stores?
2. What can be done to generate new revenue streams or cut current costs?
3. Is there another model or type of business Mr. Anderson should consider that would not be costly to enter with his current assets?
4. The business locations are all in small towns. What can he do get the community members to want to support his business?
5. Should he relocate his business?

Teams who do *not* submit an entry that follows this topic will be *disqualified*.

A team will be DISQUALIFIED for violations of the Copyright and Fair Use Guidelines.